EDUCATION

ONE DAILY REPORT. ONE YEAR.

The $5,220 Spreadsheet

What a 45-minute daily report really costs, and the 4 numbers you need to price any manual process in your operation.

It's not a line on your P&L. It hides inside payroll.

01 **Re-typing**
The same numbers copied from one screen into another, every day.

02 **Chasing**
Walking the floor or sending emails to get the inputs nobody sent.

03 **Checking**
A second person reviews it, because nobody fully trusts the file.

04 **Fixing**
A wrong number goes out, and the rework lands on someone's day.

Each one is a sign the process should run on a system. Here's how to put a price on it.

Every manual process has a price. You need 4 numbers to find it.

01

Time

How long one run takes, start to finish.

02

Frequency

How many times it runs each week.

03

Hourly cost

The full cost of the person doing it, not just the pay.

04

Errors

What one mistake costs to find and fix.

How long does one run take, start to finish?

Count all of it: opening the file, pulling the numbers, chasing the missing ones, formatting, checking and sending. Most people only count the typing.

Time it once for real. Don't estimate from memory.

45 min

OUR EXAMPLE

One daily spreadsheet report, built by hand.

How many times does it run each week?

Daily means 5. Once per shift means more. Then turn the week into a year with working weeks, not calendar weeks.

We use 48 weeks, not 52. Vacation, holidays and sick time come out.

5×

OUR EXAMPLE

Once a day, 5 days a week. 45 minutes × 5 = 3.75 hours a week.

Use the full cost of the hour, not the pay rate.

Benefits and payroll taxes sit on top of every paycheck. Federal data puts the real cost near 1.43× pay. We use 1.3× to stay on the low side.

Inventory clerk: $22.64 pay × 1.3	**$29/hr**
Production supervisor: $35.82 pay × 1.3	**$47/hr**

Source: U.S. Bureau of Labor Statistics, 2024 manufacturing wage averages.

What does one mistake cost?

A wrong number in a report means someone has to find it and fix it. Sometimes there is scrap, material or a rush shipment on top.

COST OF ONE ERROR

Hours to fix × hourly cost, plus any scrap, material or expediting.

Left out

OUR EXAMPLE

On purpose. Count errors only when you can name the number. They can only push the total up.

Put the 4 numbers together.

Hours per run ✖ Runs per week

✖ Hourly cost ✖ 48 working weeks

✚ Errors per year ✖ Cost per error

= What the process costs you each year

Run it for every person who touches the process, then add them up.

45 minutes × 5 days	**3.75 hours a week**
3.75 hours × 48 weeks	**180 hours a year**
180 hours × $29 an hour	**$5,220 a year**

$5,220

For one report. 180 hours is four and a half full work weeks, spent on one spreadsheet.

If a production supervisor builds it at $47 an hour: **$8,460 a year.**

What is your spreadsheet costing you?

Run the 4 numbers on the report your team dreads most. Drop the yearly figure in the comments. A system can build that report for them.

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